Evolution AB (Nasdaq Stockholm: EVO.ST)

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Q2 2026 Earnings — Analyst Brief · Released 17 Jul 2026 · Currency EUR (tables in EUR millions unless stated; Evolution reports in EUR and lists in SEK on Nasdaq Stockholm)

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B2Tech · via Merlin

Shares closed +0.3% at SEK 691.40 on 17 Jul 2026 (prior close SEK 689.60) after indicating c.-1.2% (SEK 681.4) pre-open; a muted reaction consistent with an in-line print (Yahoo Finance close; Investing.com pre-market). For context, the stock subsequently traded at SEK ~800-810 in early October 2026 ahead of the 23 Oct Q3 report (press/data snippets, secondary).

THE ONE-LINE VERDICT

An in-line, marginally light quarter that confirms the new shape of Evolution: a ~66%-margin cash machine whose growth now comes from the Americas and RNG, while Europe stabilises and Asia (37% of end-player revenue) stays hostage to content piracy. Net revenue fell 1.2% to EUR 517.8m (+2.4% constant currency) and EBITDA fell 1.2% to EUR 341.0m at a flat 65.9% margin; EPS still rose 4.7% because the EUR 2bn buyback and a financial-items swing did the work. Until Asia and Europe both grow, the equity case is capital return plus product optionality rather than compounding growth.

NET REVENUE	EBITDA (= ADJ. EBITDA)	EBITDA MARGIN	PROFIT FOR THE PERIOD	EPS (BASIC = DILUTED)	OPERATING CASH FLOW
EUR 517.8m	**EUR 341.0m**	**65.9%**	**EUR 251.4m**	**EUR 1.27**	**EUR 293.0m**
-1.2% YoY / +0.9% QoQ (+2.4% cc)	-1.2% YoY / +1.7% QoQ	flat YoY / +50bps QoQ	+1.3% YoY	+4.7% YoY (share count -3.3%)	+30.0% YoY; cash EUR 1,153.5m, no financial debt

1 EXECUTIVE SUMMARY

- **Marginally light vs consensus, effectively in line.** Q2-26 net revenue EUR 517.8m (-1.2% YoY, +0.9% QoQ) vs consensus EUR 520.0-522m (Gambling Insider / FactSet via Finwire); EBITDA EUR 341.0m vs EUR 342-343.5m (Infront/FactSet); EPS EUR 1.27 vs EUR 1.28. Swedish wires headlined it 'in line with expectations'. Shares closed +0.3% at SEK 691.40.
- **Margin held exactly where guided.** EBITDA margin 65.9% (65.9% Q2-25; 65.4% Q1-26). Total opex EUR 220.0m, +1.0% YoY but -0.2% QoQ: personnel -1.4% YoY to EUR 121.8m (23.5% of revenue), other opex -0.8% to EUR 55.0m (10.6%), D&A +11.1% to EUR 43.2m (8.3% of revenue vs 7.4%). The D&A step-up is why EBIT margin fell 90bps YoY to 57.5% while EBITDA margin was flat.
- **Guidance: no revenue guidance; FY26 EBITDA margin target of ~66% reiterated without qualification** ('The EBITDA margin for the full year remains, no question about that'). H1-26 delivered 65.6%, so the arithmetic requires ~66.4% in both H2 quarters (our calc, assuming H2 revenue EUR 1.04-1.06bn) - i.e. a repeat of Q3-25/Q4-25 levels (66.4% adj.), helped by Q4 seasonality.
- **Product mix is the story: Live -3.6% YoY to EUR 437.3m, RNG +14.1% to EUR 80.5m.** RNG posted its first double-digit growth in roughly three years (since early 2023) and its fourth consecutive sequential increase; management described it as broad-based, not one market or one title, but explicitly declined to guide that the pace holds.
- **Regional picture (end-player IP basis): Americas at all-time highs, Europe back to sequential growth, Asia down again.** Europe EUR 173.0m (+3.5% QoQ, -4.0% YoY, first QoQ growth after several quarters of decline); Asia EUR 190.5m (-3.7% QoQ, -8.9% YoY, cybercrime); North America EUR 81.0m (+2.9% QoQ, +9.5% YoY); LatAm EUR 47.5m (+1.5% QoQ, +26.3% YoY); Other/Africa EUR 25.8m (+14.2% QoQ, +10.3% YoY).
- **Regulated share rose to 49% (44% Q2-25, 48% Q1-26).** Regulated-market revenue EUR 256.1m (+10.4% YoY, +3.8% QoQ) vs non-regulated EUR 261.7m (-10.5% YoY, -1.7% QoQ). The regulated and grey books are now the same size; the former is growing double digits, the latter shrinking double digits, which is why group growth is a wash.
- **FX headwind eased but still masks underlying growth.** Constant-currency revenue growth +2.4% vs -1.2% reported = c.3.6pp (~EUR 19m) FX drag, down from c.8.3pp in Q1 (+6.8% cc vs -1.5% reported). CFO would not call the easing sustainable. The weak USD/LatAm currencies flatter the Americas' local-currency momentum relative to EUR-reported figures.
- **Cash generation strong and working capital is now a tailwind.** OCF EUR 293.0m (+30.0% YoY) despite EUR 86.0m tax paid (EUR 65.7m); OCF after capex EUR 258.4m (+34.3%); LTM cash conversion 86% (company). Accounts receivable released EUR 32.8m in the quarter (AR EUR 407.2m vs EUR 447.0m at YE25) after the CFO's collections push. Capex EUR 34.7m (intangibles EUR 16.0m, PPE EUR 18.7m), stable as % of revenue.
- **Balance sheet: EUR 1,153.5m cash, zero financial debt, EUR 90.2m lease liabilities.** Net cash after leases EUR 1,063m (~0.8x LTM adj. EBITDA of EUR 1,354.7m). Equity EUR 4,234.4m (77.4% equity/assets). The EUR 104m bond portfolio matured and was repaid into cash. A EUR 300m revolving credit facility was arranged alongside the buyback (press reports, 18 May).
- **Capital return: EUR 2bn buyback replaces the dividend.** Programme announced 18 May 2026 (management: largest ever on Nasdaq Stockholm). 5,141,528 shares (2.58% of share capital) bought for EUR 303.2m between 19 May and 30 June, implying ~EUR 59/share; 15% of the programme done in six weeks. No dividend paid in H1-26 vs EUR 572.5m (EUR 2.80/share) in H1-25. CFO says Q2 was 'maxed out' at the 25%-of-ADV constraint, so Q3/Q4 pace depends on market volume and price.
- **EPS growth is financially engineered, not operational.** Profit for the period +1.3% to EUR 251.4m; EPS +4.7% to EUR 1.27 on a 3.3% lower average share count (197.2m vs 203.9m) and a EUR 15.0m positive swing in net financial items (+EUR 3.1m vs -EUR 11.9m). ETR 16.4% (15.7%) on Pillar II top-up tax. Period-end shares 194.1m (-4.6% YoY).
- **UKGC licence review closed with a GBP 4.75m settlement (15 Jul).** Related mainly to Evolution content reachable on six unlicensed UK-facing sites via two operators, in breach of its terms of supply; the 18-19-month review found no broader pattern of unlicensed access. CEO called the amount 'a bit high in relation to the actual issue'; no change to UK operations now or planned. The regulator's own public statement followed on 23 Jul. Management also said it could not replicate the Investigate Europe allegation of UK-IP access via Soft2Bet.

- **Galaxy Gaming: deal dead after two years.** The outside date of the USD 85m (USD 3.20/share) agreement fell on 17 Jul; Evolution gave notice of termination on 21 Jul and, per press reports, owes a ~USD 5.2m termination fee. Management calls it immaterial to US plans; we agree on size, but it closes the land-based table-game adjacency and the two years of administrative effort yielded nothing.
- **No formal cost-transformation programme; cost control is studio-mix optimisation.** Headcount 22,880 (+2.8% YoY, flat QoQ); average FTE 16,534 (+3.6%). Second studios opened in Michigan (also home to the Ezugi brand) and Argentina (studio acquired from a competitor for EUR 6.0m, goodwill EUR 5.8m); Vilnius, Lithuania to open later in 2026. Management says each new studio improves 'distribution and cost mix' after a period of 'very unfavorable' mix; the proof is personnel cost falling YoY while FTEs rise.
- **Event effects: none.** Asked about the 2026 World Cup, the CFO said Evolution does not see a clear activity boost from World Cups or Olympics ('maybe the time zone'); nothing is expected in H2 either. The only engagement datapoint is the game-rounds index at an all-time high (an analyst put it ~12% above Q4-25; management did not dispute), which the CEO frames as faster sessions with smaller bets - volume up, monetisation per round down.
- **Product roadmap is back-end loaded.** Q2 saw the first Hasbro titles (Monopoly Roulette; Monopoly Roll'em post-period), Monopoly Live in NJ/DE/MI/CT, a localised Ice Fishing Brasil from the Sao Paulo studio, and Ice Fishing itself now 'one of the biggest games in the whole industry'. Disco Balls (Funky Time spin-off) is the major Q3 release. CEO conceded the roadmap 'had been a little bit tilted towards the end all along'.
- **Asia remains the swing factor and management is not quantifying it.** Revenue has oscillated EUR 189-210m per quarter since the cybercrime (table copying and restreaming) hit in Q3-25. Management: 'cat and mouse game, the volatility will remain', underlying demand intact, regulated Philippines growing nicely, competitive landscape unchanged, no intra-quarter comment. Q3-25 (EUR 189.1m) is an easy comp but the direction within the range is unknowable from outside.
- **What management emphasised vs buried.** Emphasised: the buyback ('largest ever'), RNG double-digit, Americas all-time highs, UKGC closure, cash flow. Buried: Live -3.6% got two sentences; no sizing of the Asia cyber impact; no comment on UK RGD impact beyond 'UK is not really a huge market for Evolution'; Galaxy 'will not comment further'; the CEO's own admission that Live growth should be better.
- **Other legal/structural items.** The New Jersey defamation suit against Calcagni & Kanefsky, Black Cube and Playtech proceeds through 2026. H1-26 earn-out payments of EUR 25.9m (NLC EUR 11.1m, BTG EUR 14.3m, Arcadia EUR 0.4m). Gross tax balances remain unusually large (current tax receivables EUR 550.1m vs current tax liabilities EUR 911.1m) and are not explained in the interim report.
- **Thesis read-through.** Eight consecutive quarters of revenue growth between -3.7% and +3.9% confirm Evolution has become an ex-growth compounder at the group level, with the mix migrating toward regulated Americas/RNG at the expense of grey Asia and taxed Europe. The 66% margin, ~EUR 1.1bn annual free cash flow and EUR 2bn buyback underpin EPS mid-single-digit growth even with a flat top line; re-rating requires Asia to stop falling and Europe's Q2 uptick to persist. Next catalyst: Q3 report 23 Oct 2026.

2 GROUP FINANCIAL SUMMARY

GROUP, EUR M	Q2-26	QOQ	YOY	H1-26	H1 YOY
REVENUE BY PRODUCT					
Live Casino	437.3	+0.6%	-3.6%	872.2	-3.3%
RNG	80.5	+3.0%	+14.1%	158.7	+11.1%
Net revenues	**517.8**	**+0.9%**	**-1.2%**	**1,030.8**	**-1.4%**
Net revenue growth at constant currency (co. estimate) Company estimate applying current-quarter GGR-to-revenue ratio to GGR at prior-year FX.	+2.4%	Q1-26: +6.8%	vs -1.2% reported	n/a	n/a
REVENUE BY END-PLAYER IP REGION					
Europe	173.0	+3.5%	-4.0%	340.1	n/a
Asia	190.5	-3.7%	-8.9%	388.3	n/a
North America	81.0	+2.9%	+9.5%	159.7	n/a
Latin America	47.5	+1.5%	+26.3%	94.3	n/a
Other regions (mainly Africa)	25.8	+14.2%	+10.3%	48.4	n/a
Regulated-market revenue / share of total H1-25 regional split not reproduced in the Q2-26 report; H1 YoY not derivable without the Q1-25 table.	256.1 / 49%	+3.8% / +1pp	+10.4% / +5pp	502.8 / 49%	n/a
OPERATING EXPENSES					
Personnel expenses	121.8	+1.2%	-1.4%	242.1	-0.6%
Other operating expenses	55.0	-4.2%	-0.8%	112.4	-1.8%
Depreciation, amortisation & impairment	43.2	+1.2%	+11.1%	85.9	+11.0%
Total operating expenses	220.0	-0.2%	+1.0%	440.4	+1.2%
PROFITABILITY					
EBITDA (= adj. EBITDA; no other operating revenue in period)	**341.0**	**+1.7%**	**-1.2%**	**676.3**	**-1.6%**
EBITDA margin	65.9%	+50bps	0bps	65.6%	-20bps
Operating profit (EBIT)	297.8	+1.8%	-2.8%	590.4	-3.2%
EBIT margin	57.5%	+50bps	-90bps	57.3%	-100bps
Net financial items	+3.1	Q1-26: +7.5	Q2-25: -11.9	+10.6	H1-25: -13.1
Profit before tax	300.9	+0.3%	+2.2%	601.0	+0.7%
Effective tax rate	16.4%	Q1-26: 16.0%	Q2-25: 15.7%	16.2%	H1-25: 15.7%
Profit for the period (IFRS)	**251.4**	**-0.2%**	**+1.3%**	**503.4**	**+0.1%**
EPS before dilution, EUR (IFRS)	1.27	+0.8%	+4.7%	2.54	+3.4%
EPS after dilution, EUR (IFRS)	1.27	+0.8%	+4.7%	2.54	+3.4%
Average shares before dilution (m)	197.2	-1.0%	-3.3%	198.2	-3.2%
Shares outstanding, period end (m)	194.1	-2.6% vs YE25	-4.6%	194.1	-4.6%
CASH FLOW					
Cash flow from operating activities	293.0	-15.3%	+30.0%	638.9	+8.9%
of which tax paid	-86.0	Q1-26: -4.9	Q2-25: -65.7	-90.8	H1-25: -69.8
Capex (intangibles + PPE)	34.7	+0.2%	+5.1%	69.3	+4.0%
Operating cash flow after capex	**258.4**	**-17.0%**	**+34.3%**	**569.6**	**+9.5%**
LTM cash conversion (company)	86%	n/a	n/a	86%	n/a
Share repurchases	303.2 (5.14m shs)	Q1-26: nil	Q2-25: 65.4	303.2	H1-25: 219.5
Dividend paid	nil	nil	Q2-25: 572.5	nil	H1-25: 572.5
BALANCE SHEET					
Cash and cash equivalents	1,153.5	+5.1%	+128%	1,153.5	+128%
Gross financial debt	nil	nil	nil	nil	nil
Lease liabilities (current + non-current)	90.2	n/a	Q2-25: 89.9	90.2	n/a
Net cash after leases / x LTM adj. EBITDA	**1,063.3 / 0.8x net cash**	**n/a**	**Q2-25: 415.4**	**1,063.3**	**n/a**
Total equity / equity-assets ratio	4,234.4 / 77.4%	n/a	Q2-25: 3,728.9 / 75.3%	4,234.4	n/a

GROUP, EUR M	Q2-26	QOQ	YOY	H1-26	H1 YOY
GROUP KPIS					
Employees, period end	22,880	~flat	+2.8%	22,880	+2.8%
Average full-time equivalents	16,534	n/a	+3.6%	16,612	+5.2%
Mobile share of operators' GGR	75%	n/a	+2pp (73%)	n/a	n/a
Game rounds index [Index not disclosed numerically; monthly actives/ARPU not disclosed by a B2B supplier.]	All-time high	up (c.+12% vs Q4-25 per analyst)	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — LIVE CASINO (84% OF REVENUE)

Live revenue EUR 437.3m, -3.6% YoY / +0.6% QoQ: a four-quarter plateau at EUR 432-439m, with the YoY decline 'mostly' Europe and Asia piracy capping the upside.

They reported Live net revenue of EUR 437.3m, down 3.6% year on year but up 0.6% on the first quarter, with the first-half figure at EUR 872.2m (-3.3%). Live is now 84.5% of group revenue against 86.5% a year ago and the trailing-twelve-month Live line of EUR 1,742.4m is 1.7% below the prior year. Management attributed the year-on-year decline 'mostly' to Europe; no product-level constant-currency figure is given, but with group revenue up 2.4% in constant currency and RNG up 14%, Live was probably around flat in local currencies (our inference, unverified). The pattern since Q3-25 (EUR 431.7m, 438.6m, 434.9m, 437.3m) is a plateau rather than a decline, but a plateau is not what the global #1 live supplier is valued for, and the CEO conceded as much when asked whether Live is lagging the market: 'I think we can always do better. I expect more when it comes to live growth.' Market share, handle, actives and ARPU are not disclosed by a B2B supplier and we do not estimate them.

The content engine is working where it is pointed. In Europe the game-show category 'did really good' and demand for localised native-speaking tables is rising; Ice Fishing has, in the CEO's words, become one of the biggest games in the whole industry. The Hasbro partnership delivered its first titles - Monopoly Roulette in June and Monopoly Roll'em just after quarter end - with 'very strong' initial operator and player response, and Monopoly Live (a 2019 European release) finally went live in New Jersey, Delaware, Michigan and Connecticut. A Brazilian-Portuguese Ice Fishing Brasil streams from the expanded Sao Paulo studio. The major Q3 release is Disco Balls, a Funky Time spin-off. The CEO admitted the 2026 roadmap 'had been a little bit tilted towards the end all along', so the product contribution to revenue is a Q4 and 2027 story rather than a Q3 one. The game-rounds index hit an all-time high (an analyst sized it at roughly 12% above Q4-25 and management did not push back) while revenue was flat; management's own framing is that sessions are getting faster with smaller bets and game rounds 'will need to increase more than revenue over the coming 10 years'. We read that as a mix shift toward game shows and lower-stake formats - good for retention and reach, dilutive to revenue per round.

Capacity continues to be added in lower-cost locations and the cost line shows it. A second Michigan studio opened in the quarter, hosting several game shows for the state and serving as home for the Ezugi second brand; a second Argentine studio, acquired from a competitor in Q1 for EUR 6.0m (EUR 5.8m goodwill), was relaunched around quarter end; Vilnius, Lithuania is scheduled for later in 2026; and Alberta was added in July following Canada's newest provincial regulation. Headcount is 22,880 (+2.8% YoY, flat QoQ) and average FTEs 16,534 (+3.6%), yet personnel expense fell 1.4% to EUR 121.8m, or 23.5% of revenue. Management says every new studio is 'optimizing the distribution and cost mix' after a period it now describes as a 'very unfavorable cost mix'. The flip side is D&A, up 11.1% to EUR 43.2m (8.3% of revenue vs 7.4%), the only cost line growing faster than revenue and the reason EBIT margin fell 90bps to 57.5% while EBITDA margin held at 65.9%.

The piracy problem sits squarely in Live. The CEO's description is unusually plain: 'they take our product, make a copy, and redistribute it ... just like they would do with ... a handbag'. Asia, the largest region by end-player at EUR 190.5m, fell 3.7% QoQ and 8.9% YoY, and management offered no sizing of the revenue impact, no comment on intra-quarter trading, and no guidance on direction ('the volatility is still here. We are not in a stable situation'). They do say underlying regional demand has growth potential, that the regulated Philippine market is 'growing nicely', that the broader regulatory picture is stable and that the competitive landscape has not changed. We treat Asia Live as a EUR 185-200m per quarter range-bound line with downside skew until two consecutive quarters say otherwise.

There is no Live-specific guidance; the group targets growth faster than the global online casino market and, per the Q2 slide deck, growth in line with the market in each region in both Live and RNG. For Q3-26 the comparison is soft (Q3-25 Live EUR 431.7m was the first cyber-hit quarter) and Q4-25 (EUR

LIVE CASINO, EUR M	Q2-26	QOQ	YOY	H1-26	H1 YOY
Live net revenue	**437.3**	**+0.6%**	**-3.6%**	**872.2**	**-3.3%**
Share of group net revenue	84.5%	-0.3pp	-2.1pp	84.6%	-1.7pp
Live revenue, LTM	1,742.4	n/a	-1.7%	n/a	n/a
Live YoY growth, prior quarters	-3.6%	Q1-26: -3.1%	Q2-25 Live: 453.7	n/a	n/a
Quarterly trend (Q3-25 / Q4-25 / Q1-26)	431.7 / 438.6 / 434.9	n/a	n/a	n/a	n/a
Live market share / handle / actives / ARPU Not disclosed by Evolution (B2B). Group-level cost lines below are not allocated by product.	n/a	n/a	n/a	n/a	n/a
Group personnel expense (% of revenue)	121.8 (23.5%)	+1.2%	-1.4%	242.1 (23.5%)	-0.6%
Group D&A (% of revenue)	43.2 (8.3%)	+1.2%	+11.1%	85.9 (8.3%)	+11.0%
Capex: PPE (studios, tables, servers)	18.7	Q1-26: 19.6	+30.1%	38.3	+22.1%
Capex: intangibles (games, platform)	16.0	Q1-26: 15.0	-14.2%	30.9	-12.3%
Studio launches	Michigan #2, Argentina #2	n/a	n/a	Argentina studio acquired EUR 6.0m	n/a
Employees / avg FTE	22,880 / 16,534	flat / n/a	+2.8% / +3.6%	n/a / 16,612	n/a / +5.2%
Game rounds index	All-time high	up	n/a	n/a	n/a

438.6m) is similarly undemanding, so flat-to-low-single-digit Live growth in H2 is achievable even without an Asia recovery; we pencil EUR 438-442m for Q3 (estimate). The structural question - whether Live can grow in Europe at 50% channelisation and rising duties - is unanswered by this quarter.

4 SEGMENT DEEP-DIVE — RNG (16% OF REVENUE)

RNG EUR 80.5m, +14.1% YoY and a fourth straight sequential rise - first double-digit growth since early 2023 - but it is too small to offset Live.

They reported RNG net revenue of EUR 80.5m, up 14.1% year on year and 3.0% quarter on quarter, taking first-half RNG to EUR 158.7m (+11.1%) and the trailing twelve months to EUR 309.8m (+5.4%). The sequence since the Q2-25 trough is EUR 70.6m, 75.5m, 75.7m, 78.2m, 80.5m - four consecutive sequential increases - and RNG's share of group revenue has climbed to 15.5% from 13.5%. Management made a point of the symbolism: 'this quarter is the quarter of double-digit growth for RNG, it took a while, we're here now, we're proud of that because we stated that we were going to do that.' Berenberg dated the last double-digit print to the start of 2023.

On drivers, the CEO was careful not to over-attribute. North American slots 'performs well at the moment', but 'we shouldn't overvalue North America ... still a small market in comparison to others'; the growth is 'from the total situation in RNG, not any specific market' and not any single release. The practical interpretation is that the One Stop Shop distribution push and the multi-studio portfolio (NetEnt, Red Tiger, Big Time Gaming, Nolimit City and the newer Sneaky Slots brand) are broadening the base rather than one hit carrying the number. The Q2 Hasbro launches are Live formats; RNG Hasbro titles are still to come. Earn-out cash of EUR 25.9m went out in H1 (NLC EUR 11.1m, BTG EUR 14.3m, Arcadia EUR 0.4m), a reminder that the RNG studios were bought with contingent consideration tied to performance.

Management explicitly refused to guide that double-digit growth holds ('I won't guide on that, but now we took a good step forward'). The comps get harder from here: Q3-25 was EUR 75.5m and Q4-25 EUR 75.7m, so holding +10% requires EUR 83-84m in Q3 and Q4, i.e. roughly EUR 1.5m of sequential growth per quarter, which is below the H1 run-rate of EUR 2.3-2.5m per quarter. We model EUR 82-84m for Q3-26 (+9-11% YoY, estimate).

The investment relevance should be kept in proportion. At 15.5% of group, 14% RNG growth adds roughly EUR 10m of revenue per quarter, or about 2 percentage points to group growth; it cannot by itself offset the EUR 16m year-on-year decline in Live. RNG profitability is not disclosed and we make no assumption on it. The structural signal is nonetheless positive: a segment that was a drag for three years is now a consistent contributor, and it is predominantly regulated-market revenue, which is where the group mix is heading.

RNG, EUR M	Q2-26	QOQ	YOY	H1-26	H1 YOY
RNG net revenue	**80.5**	**+3.0%**	**+14.1%**	**158.7**	**+11.1%**
Share of group net revenue	15.5%	+0.3pp	+2.1pp	15.4%	+1.7pp
RNG revenue, LTM	309.8	n/a	+5.4%	n/a	n/a
RNG YoY growth, prior quarters	+14.1%	Q1-26: +8.1%	Q2-25 RNG: 70.6	n/a	n/a
Quarterly trend (Q3-25 / Q4-25 / Q1-26)	75.5 / 75.7 / 78.2	n/a	n/a	n/a	n/a
Sequential increase (EUR m)	+2.3	Q1-26: +2.5	n/a	n/a	n/a
Earn-out payments (NLC / BTG / Arcadia)	Q2: 4.3 total	Q1-26: 27.6 incl. Yolo studio 6.0	n/a	11.1 / 14.3 / 0.4	H1-25: 11.2
RNG EBITDA / market share / actives [Not disclosed.]	n/a	n/a	n/a	n/a	n/a

5 SEGMENT DEEP-DIVE — REGIONAL MIX (GROUP REVENUE BY END-PLAYER IP; CUSTOMER-LOCATION BASIS ALSO SHOWN)

Americas at all-time highs (+9.5% / +26.3% YoY), Europe +3.5% QoQ but -4.0% YoY, Asia -8.9% YoY on piracy; regulated share up to 49%.

Europe, at EUR 173.0m or 33% of end-player revenue, grew 3.5% sequentially after several quarters of decline (EUR 182.2m, 177.6m, 167.1m over the prior three) but remains 4.0% below last year. Management cited strong game-show performance, rising demand for native-speaking tables and 'increasing activity in regulated markets', while repeating that channelisation is 'very weak in a number of jurisdictions' and that once duties push channelisation toward 50% - the UK and the Netherlands were named - 'that is not good'. Asked three times whether this is an inflection point, the CEO declined each time ('I wish that I had a clear answer'). On the UK Remote Gaming Duty increase effective April, they would not comment on a single market beyond saying the UK 'is not really a huge market for Evolution. Even with an impact, it's not that big.' Two technical points matter for modelling. First, by customer (operator) location Europe fell 10.2% YoY to EUR 344.7m while Asia-located customers jumped from EUR 1.3m to EUR 17.7m, which indicates operator contracts re-domiciling rather than a 10% collapse in European end-demand; the player-IP series (-4.0%) is the better read. Second, the UKGC settlement (GBP 4.75m, 15 Jul) changes nothing operationally: the ring-fencing measures, described as the strictest of any European supplier, were already in place and no further restrictions were agreed.

Asia, at EUR 190.5m or 37% of end-player revenue, fell 3.7% sequentially and 8.9% year on year, the one region moving the wrong way. The quarterly path since the cybercrime problem surfaced is EUR 209.1m (Q2-25), 189.1m, 193.6m, 197.8m, 190.5m. The issue is unauthorised copying and restreaming of Evolution tables, which management frames as a 'cat and mouse game' it is 'certain that we will eventually win' but will not time: no comment on post-quarter trading, no sizing of the drag, and 'I don't guide on quarter-on-quarter growth for any region'. Positives offered were that underlying demand has growth potential, the regulated Philippine market is growing nicely, regional regulation is stable and competition is unchanged. Given that group regulated share is 49%, the bulk of Asia is grey-market revenue; this remains the single largest risk to both the revenue line and the multiple, and the lack of disclosure means investors are being asked to take direction on trust.

North America reached a record EUR 81.0m (16% of revenue), up 2.9% sequentially and 9.5% year on year on the player-IP basis and 10.8% by customer location. Monopoly Live was launched in New Jersey, Delaware, Michigan and Connecticut; the second Michigan studio hosts state-specific game shows and the Ezugi brand; and Alberta went live in July following its move to a regulated commercial market. RNG slots were singled out as performing well in the region. The Galaxy Gaming termination (notice 21 Jul; ~USD 5.2m fee per press reports) removes the planned land-based table-game adjacency, but Evolution already had the long-standing commercial relationship it wanted and management is right that USD 85m of equity value is immaterial next to EUR 1.15bn of cash. Latin America also set a record at EUR 47.5m (9% of revenue), up 1.5% sequentially and 26.3% year on year, decelerating from +29.3% in Q1 but still the fastest-growing region; the regulated Brazilian market, the localised Ice Fishing Brasil and the second Argentine studio are the drivers, and the FX headwind here is material in EUR terms. Other regions, mainly Africa, grew 14.2% sequentially and 10.3% year on year to EUR 25.8m, with a 'strong position' in premium Live and rising RNG activity.

The cleanest expression of the mix shift is the regulated split: regulated-market revenue rose 10.4% year on year to EUR 256.1m (49% of total vs 44%) while non-regulated revenue fell 10.5% to EUR 261.7m. The two books are now the same size and moving in opposite directions at similar speed, which is precisely why group revenue is flat. Constant-currency growth of 2.4% against -1.2% reported implies a c.3.6pp (~EUR 19m) FX drag, down from c.8.3pp in Q1; the CFO would not call the easing sustainable. The 2026 World Cup produced no discernible activity boost ('maybe the time zone'), and none is expected in H2. Mobile accounted for 75% of operators' GGR (73%).

REGIONAL, EUR M	Q2-26	QOQ	YOY	H1-26	H1 YOY
BY END-PLAYER IP ADDRESS					
Europe	173.0 (33%)	+3.5%	-4.0%	340.1	n/a
Asia	190.5 (37%)	-3.7%	-8.9%	388.3	n/a
North America	81.0 (16%)	+2.9%	+9.5%	159.7	n/a
Latin America	47.5 (9%)	+1.5%	+26.3%	94.3	n/a
Other regions (mainly Africa)	25.8 (5%)	+14.2%	+10.3%	48.4	n/a
Total net revenues	**517.8**	**+0.9%**	**-1.2%**	**1,030.8**	**-1.4%**
Regulated markets: revenue	256.1	+3.8%	+10.4%	502.8	n/a
Regulated markets: share of revenue	49%	+1pp	+5pp	49%	n/a
Non-regulated markets: revenue (derived)	261.7	-1.7%	-10.5%	528.0	n/a
BY CUSTOMER (OPERATOR) LOCATION					
Europe	344.7 (67%)	-0.2%	-10.2%	690.0	n/a
Asia	17.7	+4.7%	vs 1.3 (n.m.)	34.6	n/a
North America	78.8	+4.4%	+10.8%	154.3	n/a
Latin America	65.3	+1.4%	+9.7%	129.7	n/a
Other regions	11.4	+2.7%	+35.7%	22.5	n/a
OTHER					
Constant-currency revenue growth (co. est.)	+2.4%	Q1-26: +6.8%	implied FX drag c.3.6pp	n/a	n/a
Mobile share of operators' GGR	75%	n/a	+2pp	n/a	n/a
World Cup 2026 effect H1-25 regional figures are not in the Q2-26 report; H1 YoY therefore n/a.	none discernible (mgmt)	n/a	n/a	n/a	n/a

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- RNG +14.1% YoY to EUR 80.5m, first double-digit growth since early 2023 and a fourth consecutive sequential rise; management says it is broad-based rather than one market or title. structural
- Europe returned to sequential growth (+3.5% QoQ to EUR 173.0m) after several quarters of decline, driven by game shows and native-speaking tables; regulated-market activity rising. early
- North America (+9.5% YoY, EUR 81.0m) and LatAm (+26.3% YoY, EUR 47.5m) both at all-time highs; Monopoly Live in four US states, Alberta added in July, Brazil localisation and a second Argentine studio. structural
- Regulated share of revenue 49% (44% a year ago); regulated revenue +10.4% YoY. The quality of the revenue base keeps improving even as the headline is flat. structural
- Cost discipline is real: total opex -0.2% QoQ, personnel -1.4% YoY despite +3.6% FTEs, EBITDA margin 65.9% held and FY26 ~66% target reiterated without hedging. structural
- Cash: OCF +30% to EUR 293.0m, AR released EUR 32.8m, EUR 1.15bn cash with zero financial debt; EUR 303m (5.1m shares, 2.6% of capital) bought back in six weeks under the EUR 2bn programme, which also removes the dividend-vs-buyback overhang. structural
- UKGC review closed with a GBP 4.75m settlement, no broader pattern of unlicensed access found and no new operating restrictions; a 19-month overhang removed at low cost. one-off

▼ LOWLIGHTS

- Asia (37% of end-player revenue) -3.7% QoQ and -8.9% YoY on content piracy; management will not size the impact, comment intra-quarter or call a direction, and conceded 'we are not in a stable situation'. structural
- Live, 84% of the group, fell 3.6% YoY to EUR 437.3m and has been flat at EUR 432-439m for four quarters; the CEO himself said 'I expect more when it comes to live growth'. structural
- Europe still -4.0% YoY with channelisation near 50% in named markets (UK, Netherlands) and the UK RGD increase live from April; management explicitly refused to call Q2 an inflection point. structural
- Slight miss on every line (revenue EUR 517.8m vs EUR 520-522m consensus; EBITDA EUR 341.0m vs EUR 342-343.5m; EPS EUR 1.27 vs 1.28); eighth consecutive quarter of growth between -3.7% and +3.9%. mixed
- EPS growth (+4.7%) is entirely from a 3.3% lower share count and a EUR 15m financial-items swing; profit grew 1.3% and EBIT fell 2.8% as D&A rose 11% (EBIT margin -90bps to 57.5%). watch
- Galaxy Gaming terminated after two years and a ~USD 5.2m fee: immaterial in size but a visible failure of execution on US regulatory approvals that consumed 'significant time, effort and resources'. one-off
- Governance/compliance noise persists: UKGC public statement (23 Jul), Investigate Europe allegations of UK-IP access via Soft2Bet (management could not replicate), ongoing NJ litigation vs Playtech/Black Cube, and unexplained gross tax balances (EUR 550m receivable / EUR 911m liability). governance

7 FORECAST & OUTLOOK

Guidance bridge. Evolution does not guide revenue; its only formal 2026 guidance is an EBITDA margin of about 66% for the full year, set with the Q4-25 report and reiterated unconditionally on 17 July ('The EBITDA margin for the full year remains, no question about that'). Nothing changed, so there is no division-driven bridge to reconcile; the moving parts are instead (i) H1-26 printed 65.6%, 40bps below the target, so H2 must average ~66.4% (our calc, H2 revenue EUR 1.04-1.06bn), which is what Q3-25 and Q4-25 delivered (66.4% adj. each) with Q4 seasonality helping; (ii) the CFO was explicit that costs will rise if revenue rises ('we will then maintain the 66% margin target'), so margin upside is capped by design; (iii) the product roadmap and the Vilnius studio are back-end loaded, adding modest H2 cost; and (iv) 'about 66%' gives management ~30-40bps of latitude either way.

FY26 EBITDA MARGIN GUIDANCE	H1-26 DELIVERED	IMPLIED H2-26 MARGIN TO HIT 66%	Q3-26E NET REVENUE (OUR ESTIMATE)
~66% (unchanged)	**65.6%**	**~66.4%**	**EUR 520-525m**
Reiterated 17 Jul; set at Q4-25 report	-20bps YoY; Q2 65.9%, Q1 65.4%	+50bps vs Q2; matches Q3-25/Q4-25 levels (our calc)	+2.5-3.5% YoY vs EUR 507.1m (cyber-hit comp)

Independent view. Our Q3-26 base case (all estimates): net revenue **EUR ~522m** (Live EUR ~440m roughly +2% YoY against the first cyber-hit comp of EUR 431.7m; RNG EUR ~82-83m, +9-10%), EBITDA **EUR ~345m at ~66.0%**, profit ~EUR 255m and EPS ~EUR 1.32-1.34 on an average share count of ~192m if Q3 buybacks run at EUR 250-300m. The YoY revenue comparison turns positive almost mechanically because Q3-25 absorbed the initial Asia hit and Q4-25 (EUR 514.2m) is also soft, so a return to reported growth in H2 says little about underlying momentum - watch sequential Asia (range EUR 185-200m) and whether Europe holds above EUR 170m. For FY26 we see revenue **EUR ~2.08-2.10bn (+1% YoY)**, EBITDA **EUR ~1.37-1.39bn at ~66%** and EPS **EUR ~5.2-5.3**, flat-to-up on FY25's reported EUR 5.24 (which included a EUR 51.7m earn-out reversal) with the share count doing the work. Leverage direction: net cash falls from EUR 1.15bn as buybacks (~EUR 1.0-1.2bn annualised at the Q2 pace, volume-constrained at 25% of ADV) run slightly ahead of ~EUR 1.0-1.1bn of post-tax, post-capex cash generation; we expect year-end cash of EUR ~0.9-1.0bn with the EUR 300m RCF undrawn, i.e. the balance sheet stays net cash through the programme. Swing factors, in order: Asia piracy (+/- EUR 10-15m per quarter on revenue, near-100% drop-through), European channelisation and duty (UK RGD, Netherlands), FX (USD, BRL, ARS vs EUR; c.3.6pp drag in Q2), the H2 launch cadence (Disco Balls, further Hasbro titles) and Q4 seasonality. The risk to our numbers is asymmetric to the downside on revenue (Asia) and symmetric on margin (management has shown it will flex costs).

What to watch next quarter:

- Asia revenue in the Q3 report (23 Oct 2026): a print below EUR 185m would mean the piracy drag is worsening; above EUR 195m would validate management's 'we will eventually win' framing.
- Whether Europe holds sequential growth (>EUR 173m) through the UK RGD step-up and ahead of the Vilnius studio launch; any management willingness to call an inflection.
- RNG staying double-digit against EUR 75.5m / 75.7m comps in Q3/Q4 (needs EUR 83-84m).
- Buyback cadence and average price: Q2 was EUR 303m at ~EUR 59/share at the 25%-of-ADV cap; a higher share price mechanically slows share-count shrinkage per euro.
- H2 EBITDA margin >=66.4% with D&A still growing ~11%; EBIT margin trajectory (57.5%) matters more for EPS than EBITDA.
- Compliance tail: the UKGC public statement's implications, the Investigate Europe/Soft2Bet allegations, the NJ litigation vs Playtech/Black Cube, and any explanation of the EUR 550m / EUR 911m gross tax balances.
- Post-period shareholder developments (press reports of founder share sales and of a proposal to cancel repurchased shares) - noted but unverified at the time of writing.

DATA CONFIDENCE: HIGH All P&L, cash-flow, balance-sheet, product and regional figures are taken directly from the 17-page Interim Report January-June 2026 (read in full) and reconcile internally; QoQ/H1 derivations are our own arithmetic from that report. Call commentary is from the full Investing.com transcript. Medium confidence on: consensus (providers differ: revenue EUR 520.0m/522m, EBITDA EUR 342m/343.5m), the 17 Jul close (Yahoo Finance snapshot corroborated by Investing.com's prior close), and post-period items sourced only from search snippets (Galaxy termination fee ~USD 5.2m, EUR 300m RCF, UKGC public statement, founder share-sale and share-cancellation press headlines). Not disclosed and therefore not estimated: market shares, handle, actives, ARPU, promo intensity, segment EBITDA, numeric game-rounds index, H1-25 regional split (H1 YoY regional = n/a).

Sources: [Primary] Evolution AB Interim Report January-June 2026 (Q2-26), PDF via MFN, 17 Jul 2026 - primary filing; [Primary] Evolution IR press release: Interim report January-June 2026 - primary; [Primary] Evolution press release: GBP 4.75m settlement with UK Gambling Commission, 15 Jul 2026 - primary; [Primary] Evolution press release (Cision): Board resolves on EUR 2 billion share buyback programme, 18 May 2026 - primary; [Primary] UK Gambling Commission public statement: Evolution Malta Holding Limited to pay GBP 4.75m, 23 Jul 2026 - primary (regulator); [Secondary] Investing.com: Q2 2026 earnings call transcript (full) and pre-market price - secondary; [Secondary] Gambling Insider: Evolution Q2 2026 earnings - consensus EUR 520.0m revenue / EUR 343.5m EBITDA / EPS 1.28 - secondary; [Secondary] Placera/Finwire: 'Evolution i linje med forvantningarna' - FactSet consensus revenue 522 / EBITDA 342 - secondary; [Secondary] Yahoo Finance EVO.ST key statistics (close SEK 691.40, +0.26%, 17 Jul 2026) - secondary; [Secondary] Gaming Intelligence: Evolution terminates Galaxy Gaming acquisition, 21 Jul 2026 - secondary; [Secondary] TipRanks: Galaxy Gaming faces terminated merger; USD 5.23m termination fee - secondary; [Secondary] iGB: Evolution launches EUR 2bn buyback and EUR 300m revolving credit facility - secondary; [Secondary] Placera: Q1-26 report coverage (constant-currency +6.8%, LatAm +29.3%, shares -5% on the day) - secondary.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.